other deposits with RBI are also added). The measure of broad money adds term deposits to narrow money.

In India, narrow money (also called M1) at the end of 2019–20 was Rs 41.26 lakh crore and broad money (M3) was Rs 167.80 lakh crore. Currency notes with the public, at Rs 23.50 lakh crore, made up approximately one-seventh of the broad money stock of Rs 167.80 lakh crore at the end of the year.

Velocity of Money Also Matters

Money is used to make payments for goods traded or services availed. If all payments made in a year are added and the number is divided by the stock of money, one gets the velocity of money in an economy. As crores of payments are made every day in numerous cash and digital modes (UPI alone was used to make more than 450 crore payments in December 2021 in India exceeding Rs 8 lakh crore), it is difficult to add up all the payments. GDP is an inaccurate but closer proxy for value of goods and services paid for and therefore the ratio of GDP to stock of money works as a rough estimate of the velocity of money in an economy.

Using this crude measure, with India's nominal GDP being Rs 203 lakh crore in 2019–20, the velocity of money in India was a low 1.21. In effect, the GDP measures total value added, whereas transactions take place for all inputs and outputs, which is a multiple of the value added. The real velocity would be much higher.

The velocity of money is coming down all over the world, most noticeably in advanced countries. The velocity of money is trending lower even in India.

For inflation, it is not only the quantum of increase in money supply relative to increase in GDP that matters but changes in velocity of money. If the quantum of money goes up but the velocity correspondingly goes down,